BUSINESS DATA MANAGEMENT

Lecture11

Organization Buying Behavior

Now that you have an understanding of the differences between B2C versus B2B, marketing versus sales, customer versus consumer, we now try to understand what we call organizational buying behaviour. And this organizational buying behavior is nothing but how B2B firms make a purchase. So it is all about B2B purchases. Why is it that we are focusing on this one? A simple B2C purchase is pretty easy.

Let's say that you have a need, that you have a need for a product, you have a need for a service. And you have a look at the alternatives, make a comparison, look for reviews, and then make a purchase, right? So it's a pretty simple decision. And also, I was telling you that in B2C, especially, there is this concept which is referred to as, in B2C, there is this concept which is called impulse buying. Now, what do I mean by impulse buying is that

I did not plan for any purchase a priori. Let's say that on a Saturday, I go to a shopping mall. Suddenly, I see a nice T-shirt. I see a nice product and I decide to buy. Now, this is what we call impulse sudden buying, right?

Which is a purchase which is made without any prior planning. Now, this doesn't happen in B2B. Why? This doesn't happen in B2B for a simple reason that the purchase value is very, very high, whereas what happens in B2C is that the purchase values are, you know, the value is lesser. What happens with B2B is that the purchase value is very, very high.

Right. So this is organizational buying behavior. This is actually an eight-step process, right? In some textbooks, you will find some nine steps and some you find seven steps, but more or less, these are the steps which are there in any B2B purchase. And it is important to know this because you're studying business data management theory.

The emphasis of the first two to three weeks would be on understanding the basics, understanding the theory, and then we will go down deeper into the problems, right? The first step is, so I'm going to note, write the eight steps and then I'm going to take an example and explain it one by one. So the first step is what we refer to as problem recognition. This is followed by general description of the need or general description of needs, right? The third step is what we call as product specifications, right?

which is also referred to as product specs. Then you have supplier search, analysis and acquisition, analysis and acquisition of proposals, supplier selection, selection of order routine and this finally ends with a post performance review, right? Post performance or post usage performance, post let's say usage performance, right? So these are the eight steps which are there in any of the B2B purchases, right? Now, what does this mean is that typically when organizations do buying, this organizational buying typically involves these eight steps. However, it varies across different purchases, which I'll come to later, but this is how it is being done.

Now, why is this the case? Again, just to remind you, while I've clarified it in the earlier video, this is being done because in B2B, one is that you have less customers, the purchase value is higher. Purchase value is higher in the sense that it runs in millions to billions of euros or Indian national rupees, etc. And then a lot of people are involved. A lot of people are involved in decision making.

So there is a video on YouTube. You can just go and check something called a buying center song, which tells about the different roles of people who are involved in decision making. And I said that these people are referred to as DMU. And finally, just to remind you that, you know, the purchase duration, given that the purchase value is higher, the purchase duration varies between what we call as three months to one year. So you know, typical B2B what you see is that the purchase duration is very, very longer. Why? Because because the purchase value is high, you cannot make the decisions fast. You need to compare alternatives, and you know an assessment is to be made, and you know this is

the eight-step process where you know each supplier an assessment is kind of made, a proper formal assessment is made, and then finally you know a decision is made with respect to purchase.

But if you read various reports, you'll also see that, you know, in some cases people do decide in advance. You know, there are some statistics which you see from this different agency. If you look at different marketing agencies' report where they say that a decision is made a priori prior to purchase. Yes, all these are there. The technology has changed many things.

But more or less, the general idea is that whenever there is an organizational buying, There are eight steps involved in this, starting from what we call as problem recognition all the way to post usage performance review. And the only one thing which is kind of common in both B2C and B2B is only the last one, right? Whether it is B2C or B2B, you know, at the end of the day, even if you buy, let's say, an apparel, you buy a shoes. Once you use that particular product, once you use a service, you know, the first, the last thing that you'd be doing is you are going to assess the performance, right?

You know, whether it met your expectations, whether it meets your expectation or whether it did not meet your expectation. If your expectations are met, for sure you want to buy from them again because the repurchase intention increases. But let's say that things were not up to the mark, then you may not want to buy from them again. So this is one step which is common across B2C and B2B.

So now let's go to the first step. And I also said here that the jilting impact is very high. The jilting impact is high in B2B and why is the jilting impact higher? The number of customers is less. And let's say that, you know, the purchase duration itself is long.

You have advanced level of discussions. And then the customer changes mind. You know, B2B companies are impacted. Why? Less customers, which means they've actually lost a lot of time, which is not the case with B2C.

Because if I decide not to buy a pair of shoes, there are so many other customers who can actually fit into that particular requirement and kind of buy. Now, let's go to the first step, which is what we refer to as problem recognition. Now, what is this problem recognition? The first step and the first and the foremost thing that I want to indicate here is that in B2B, there is no impulse buying. Very simple reason.

And this could also come as an MCQ for your exam. And why is there no impulse buying? Only for one reason, because the purchase value is very, very high. Simple reason, that's it. Because the purchase value is high, there is no impulse buying.

That's the sole reason, right? In B2B, you know, the firms... Well, let's make it even clearer. The customer firms buy under two conditions, right? Under two conditions, there could be other conditions as well, but under two, let me say, key conditions to make it further clearer: when A, when there is a problem, when they have a problem, right? When there is a problem, and B. And B, when there is a need. So there is no concept of impulse buying, which means, you know, suddenly you like a product and you buy.

No, that does not happen. Why? Because the purchase value is very, very high. So that never happens. So this is what problem recognition is all about.

Companies buy when they see that there is a problem or they have a need. Let's say that they have an existing supplier and they're not happy with the product or the service of the existing supplier or service provider. Or let's say that, It's a new purchase that they want to do, right? And they have a need and technology is changing and let's say that they want something.

And that's when the B2B purchase process is initiated. Now, let me give you an example. I'll use this example and we'll use this example throughout these eight steps. So let's say that there is a company and engineers, let's say in a company, complained that their laptops their laptops were slow and had a poor battery life.

So is this a B2C problem or a B2B problem? This is a B2B problem because there were many engineers in the company. So the company gave laptops to the engineers and they were supposed to work on some designs, computation, run simulations. And these engineers kind of said that, you know, these engineers who are the users, right? So, in the decision-making unit, when you look at the video on YouTube, so there's something called a buying center. You will see that there is a profile called users, right? There are different roles within that DMU. I'll just explain it in the next video, but Users are those people who use a product or service and they typically are the first to identify this problem, right?

So engineers in a company, what happened is that they complained that their laptops were slow and had poor battery life. So this is the problem, recognized. Now, the second step that we have is what we call a general description of needs. Now, what happens here? Now that you know the problem, the company,

you know, let's say the company purchase department, okay? The company purchase department, or let's say these users, right? If users tell it, users may kind of jot it down on their own, and users or users send, these engineers send their requirement to the purchase department. They kind of list what it is that they need. What it is that they need.

And for this to happen, that should be the problem one has to happen, which means you recognize there is a problem and your need is based on the problem that you have identified. So step one leads to two, right? So one is the antecedent or predecessor of two, right? So they list what they need. So here, based on that example, so what it is that they need is that the engineers, the engineers, let me write it down here, sorry, the engineers

asked for faster, high-performing laptops, one having a good battery life and one having a good battery life. So what is your problem? The problem is that the engineers in this company, they said, Like, look, you are provided with laptops, but they are slow and their battery life is very poor. So what is it that they need?

They actually need laptops which are performing well and have a good battery life. So this is step number two. Now that we know step number two, the third thing is: now that the need is clearly identified, the third thing is what we refer to as product specifications. The third thing is what we refer to as product specifications, which we also call product specs. So based on the needs, based on the needs, so need or needs, right?

The needs could be one; the needs could be many as well. So needs, when I say it is many, right? So a company would typically want to buy one solution that meets many needs than buying many solutions to cover many needs, right? So typically you are looking for one, one solution that meets many of your needs. So based on the needs identified,

In step two, which is general description of need, the specification, the specs of the product is provided, right? So let's say that this company's purchase department said that, okay, we need a laptop which has a processor. I'm just giving an example, a processor, which is, let's say, Intel, you know, the top end. I don't know what is the top end.

Let's say Intel 7 or above, right? Intel 7 or above, this is what they wanted. A screen size of, let's say, a screen size, let's say of 13 inches so that it is kind of more 13 inches so that it is kind of more portable, which means you can carry it easily. You have a good battery, which gives you more kind of nine hours on a single charge, right?

Kind of gives you nine hours on a single charge and then say a good RAM, let's say 16 GB or above. You know, you could have a better specification. I'm not a tech guy, but I'm just giving you kind of example like what is that it is done. But you have to note here is that all the three things are in sync, right? Two is based on one and step number three is based on two.

Now, once this is done, so let's say that the purchase department, this is a big company and the purchase department, you know, has all the knowledge. In that case, they would give the specification straight away. But what could also happen

in some cases is that this is a B2B purchase, right? Because this is a B2B purchase. And let's say that the number of laptops that they wanted, right?

Number of laptops, number of laptops that were needed, let's say was 250. Now, in this case, the purchase department, though they may be sure, they may not want to take a risk. In such cases, what they do is they do something called as RFI, which is nothing but request for information. Now, what is this request for information? The company may reach out to some of them, not these vendors, but some of their friends or, you know, some neutral people or, you know, some of their friends or, you know, some cohorts or some other companies trying to understand that if this is a better specification. Now, why is this

done? Because they just want to be doubly sure that the problem doesn't recur again, right? Is it important to do this? The answer is no, but given the purchase value is very high, there is nothing wrong in doing this. You just want to be doubly sure that whatever you're ordering now, because these are the laptops which are going to cost you in lakhs and you would at least expect its usage for three to four years. So, you know, they do what we call as an RFI.

Now, once this is done, The purchase department does what we call a supplier search. Right. So the purchase department based on market research. So when you go into your degree, you will learn something on market research, which is very, very fascinating, which is a very, very nice subject as well.

Based on market research, what they do is identify potential suppliers. Identify what we call as potential suppliers, or if it is service, it is service providers; if it is product, since it's a laptop, it's a product, so they are looking for potential suppliers. Now what happens is, let's say, let's say they identified 15 vendors. They identified 15 vendors. You know, when I say 15 vendors, you have Apple, you have HP, you have Lenovo, you have Dell, your Acer, your Asus, many, many brands, right? So there are MSI, multiple brands. But the next question is, do you want to invite all 15 of them? The answer is no. So this is where, you know, the market research is actually kind of very important, where what they do

is choose the top five or top four and decide to call them because you have to go through all these things.

So let's say, for instance, let's say supplier search was done. And let's say that HP, Lenovo, Apple and Dell were invited. Dell were chosen from this pool of 15 suppliers. Is it okay? So this is what that is. So four vendors were shortlisted out of 15. Now, how are they shortlisted? Based on their ratings, based on, you know, the reviews, based on the image and many other things, are based on how the market, because these four are the popular, what we call as the popular brands in the market. Right. Now what happens next is, once they are chosen, the the purchase department asked them to do something called as RFQ, right?

Now, what is this RFQ? In some cases, people call it RFP as well, which is request for quote or request for proposal. I use the term, I'm comfortable with this, what we call request for quote. Now, what they say is that the purchase department requests these four vendors for a quote. So they say that, look, here are our specifications.

We are in need of 250 laptops. Give us your best quote. And you might also know that the pricing for B2C and B2B is not the same. Why? The volumes, the more volumes you buy, you have a better rate, customized offer.

Many things keep actually getting added on, right? You know, you're supposed to provide good service, so on and so forth. Now, once what happens, they are asked for a quote, they are given a date. The quote is being received by the purchase department. And there is something called analysis and acquisition of proposals.

Analysis and acquisition of proposals, which means to say that here the members of the decision-making unit analyze the quotes or proposals given. By each supplier in detail. So this is a very important step because now what they have to do is that now the supplier search is done. The supplier search is done by the purchase department, and the purchase department does it based on market research. And let's say out of 15, four are shortlisted.

I mean, I've just done a random shortlisting. Companies have their own yardstick to kind of select the suppliers, you know, based on the criteria, which they think is important. But let's say that this company, which is a big one, decided to choose the top four from the market based on the market research. And now they're asked to provide you what is called a quote, right? You know that we wish to buy 250 laptops and this is the specification, you know, more or less, give us the best quote, right?

What happens next is there is something called analysis and acquisition of proposals. Now what happens in this analysis and acquisition of proposals is that the purchase department receives the quote and And once this kind of quote is received, the members of the DMU analyze the quotes or proposal, which is kind of given by the supplier in detail. Right. Because this is where the decision-making kind of starts.

So they're going to each of these members kind of, you know, I mean, they have a meeting and they. There are people from the finance department, there are people from HR, there's an engineering department, there is an ops department. Each of them goes through them in very much in detail. So this is what we refer to as analysis and acquisition of proposals. The step number six is what we refer to as supplier selection.

Now, what do I mean by supplier selection? How are the suppliers selected? Now, let's say that the cost, the number of laptops, number of laptops, this company wanted is 250, right? And the specifications were given.

And then let's say I'm just going to kind of insert a short table. Let's say that the brand name, right? And the cost per laptop, right? Cost per laptop was the following. Okay.

Now let's take HP. There is Dell. The other two that I've taken were Lenovo and then you have Apple, right? So this is the brand name and this is the cost per laptop.

Now HP said that the cost for this particular specification They do this, let's add on services, et cetera, because B2B is not just selling the product, you also have to provide timely services to the customers. So HP said that the cost is going to be 65,000 rupees INR. So I'm just going to write it in INR here, okay? And these rates are lesser than the B2C rates, because let's say that the same laptop in a B2B might be around 80, 85,000 with no services, but this with services, because you're buying in volumes, right?

It runs in crores, it is 65,000 rupees. Dell says, well, we give you the same one at around 72,000. Let's say Lenovo says between 69,500 and Apple says that, you know, we give it for 80,000. I want to tell you one thing, right? This company is pretty rich.

The information that I want to give you is the following, that this company is doing really, really well. When I asked this in the class and I asked them that 250 laptops are to be bought, the company is doing really well. Which one would you go for? And I get two answers most of the time, the cheapest one and the most expensive one. And the answer is both are wrong because price is not the only factor that drives purchases in B2B, okay?

The decision, the purchase decisions The purchase decisions rather are based on what we call as CSF or KSF, which is nothing but critical or what we call as key success factors. critical or what we refer to as key success factors. So there are certain yardsticks which a company takes into consideration. Price for surely is one of the factors, but there are certain yardsticks which they take into consideration.

And that is why let's say that they decide to do something called a CSF or KSF. And this varies from company to company, by the way. So I'm just going to draw one more table to just give you an idea of how this works, right? So let's say that the company decided to take the following, consider the following criteria, right? Price is definitely a factor when you kind of make a purchase.

The company was also looking at and concerned about the brand image, the service quality, because if you look at many companies, when you want to buy a product, they run and come and they're very, very active when it comes to the services. It's a big disaster. So, you know, services are also very, very important to us. And let's say that, you know, brand image, and let's say, what else can we take?

Service quality, brand image, price, and let's say, flexibility, right? I just took flexibility as one thing. You can take any CSF or KSF that you want. Now, how are these factors decided? This is decided independently by a company.

Now, I decided to take this. A company can have four factors. A company can have five factors as well. A company can take multiple factors as well. What they do next is they allocate something called weightage.

Okay, now what is this weightage? They give a score between zero to some percentage so that the total sums up to 100%. So if you have taken four factors, four factors are given certain weightages so that they sum up to 100%. Now let's say that the company is like, very rich, and they don't really mind spending, what weightage would they give to price?

Would they give you a higher weightage or a lower weightage? So naturally, if the company does well, the weightage to pricing will be less, right? Service quality, and let's say there is one more aspect that let me take, which is product quality as well, right? So let me So product quality is different.

Product is just based on product quality. Service is just based on service quality. And in one of the videos, I shall explain the difference between product quality and service quality, right? And let's say that they pay 20% to brand image. Now we have already spent 30.

Service is very important to them because, you know, what happens in most of the companies, if you see in India, is that the moment you want to do a purchase, they are there at your doorstep. But when you have the services available, you

know, nobody's there to help you out, right? So 30% for this, and we have finished 60, let's say 20% for 10%, let's say 10% for flexibility, and which is 70 and 30% for the product quality. So now what is happening is this as summed up total, let me like it as a total, this as summed up to 100%, 100%.

Now what they do is next, they do rating on a scale of one to five. So what they do next, I'm sorry for this. So what they do next, what these companies do next is they do a rating On a scale of 1 to 5, where 1, I'm just going to write it here so that you guys remember this, rating on a scale of 1 to 5, where 1 is a very poor score, where 1 is a very poor score, and let's say 5 is a top score. Okay?

So they're going to rate it on a scale of one to five. And then finally, they will have what we call as the final scores. Right. So final scores. So final scores is based on your weightage multiplied by price, your weightage multiplied by your rate.

Right. So this weightage multiplied by the rating gives you the final score. Now, let's do it for the least priced laptop currently. Let's say it's HP, for instance. So this is done for illustration purposes only and not to this thing.

All these brands are good. I've used all these brands and they are all very nice. But this is just done for the sake of illustration. Now, let's say HP. It has the cost is definitely lesser in comparison to others.

So let's say this company gives up five. Why five? Because the cost is less. What about the brand image? Now the company says, okay, it's a four.

What about the service quality? The service quality, let's say it is given as two. What about the product quality? Product quality is five. What about the flexibility?

Let's say again, it is given a five, right? Or let's keep this as three, right? Now they compute this. 10% into five is 0.5. 20% into four is 0.8.

30% into three is 0.9, 10% into five is 0.5 and 30% into five is 1.5. So what is the total score that we are getting? 1.3, 2.2, 2.7 and this total score that is coming to is 4.2. So HP now has a score of, HP now has a score of how much?

It is approximately 4.2, right? So this is the score of HP. Now, similarly, the computation is done for the rest. Now, if you take the example of Apple, since it has the highest price, maybe instead of five, I make it one, right? So similarly, this particular process was done, right?

So this particular process was done and the scores were computed. So the scores were the following. HP had a score of 4.2. Let me once again check this. 10% into five is 50%, which is 0.5.

0.8, 0.9, 0.5, and 1.5. Now, if you sum it up, 1.3, 2.2, 2.7, and 4.2, right? HP had a score of 4.2. Lenovo had a score of, let's say, 4.3. Dell had a score of 4.5.

And Apple had a score of, let's say, 4.1. So now if you actually look, right, you know, I was saying that in the class when we typically ask, students tend to say that we go with the least priced one or the highest priced one. You see that is not the case. What has eventually been selected is Dell, right, which is somewhere in the middle. And again, you might ask me that is this criterion fixed?

No, this varies from company to company. If I have chosen this as my criteria, every company might have a different criterion. Accordingly, the weightages may be different, right? I allocated 10%, somebody might want to allocate more weightage. So they may allocate 30% or they may allocate 40%.

So this is how it happens. Now this is done. Then what we do next is what we have is step number six, which is supplier selection. So supplier, which is selected now in step number six, based on this activity is Dell. Why Dell?

Because Dell now has a very, very high score. Now that this is done, we go to step number seven, which is nothing but selection of order routine. Now, what is the selection of order routine? Selection of order routine is all about 250. If you remember, recollect the difference between B2C versus B2B.

I told you that in B2B, the agreements and contracts are always high. are always higher in B2B. And why is this the case? For a simple reason that your product,

your purchase value, your product or service product purchase value is higher. Product purchase value is higher.

And for this reason, you have a lot of agreements and contracts. So what happens here is that you need 250 laptops. And now the company says of the 250 laptops, you know, please supply us 100 laptops in silver, you know, 100, let's say in black and 50 in rose color, right? So, you know, they specify all the details. And these 100 laptops, you know,

Put these softwares and for the rest 150 laptops put these softwares. So they kind of specify all the details. 50% we pay by cash and the rest 50% in installments. You know, this is what we refer to as selection of order routine, where you kind of specify all the agreements and contracts, terms and conditions. A lot of paperwork actually keeps happening.

And once that is done, there is something which is called as a post- usage, post usage performance review. Now what is this post usage performance review? Irrespective of whether it is B2B or B2C, you started with the problem. Now you use the product and you're going to see whether this particular product is actually helping you solve your problem.

And if the answer is yes, then what you do is that, you know, you decide to continue your relationship with them. You keep buying from them again and again. But if it is not the case, then you know that again, the same process once again repeats. So I hope that this clarifies, provides you a clear understanding of how organizational buying behavior is or how B2B purchases are done. While B2C purchase tend to be relatively simpler and easier where you are the decision maker or let's say in a collectivist country like India, where the decisions are collectivistic in nature, which means that it is driven by us or maybe our parents or family members.

But that does not happen in a B2B because the purchase value is higher. A lot of people are involved in making decisions. And this is how the process flows. And in the next video, I will be discussing three different buying situations in B2B,

which are based on the extension of the various steps that you have learned here. But I hope this gives you a better and clearer understanding of organizational buying behavior or B2B purchases.

And I look forward to meeting you in the next video. Thank you.